

THE SMELL TEST. For most bankers, this often remains a key yardstick—even though informal—to assess the credibility of a borrower and their ability and intent to pay off a loan.

The smell test seems to be working, at least for some of India's largest banks, which have remained largely unscathed in terms of bad debt, amidst concerns over unsecured loans in recent months. This is reflected in their Q2FY25 results.

It is also evident in investor sentiment. India's three largest banks—State Bank of India, HDFC Bank, and ICICI Bank—also remain amongst the Top 10 most valued companies by market capitalisation. According to this year's BT500 study, the market capitalisation of these three lenders—HDFC Bank (No. 3 on the BT500 list), ICICI Bank (No. 4) and SBI (No. 7)—has grown by 20% or more between October 2023 and September 2024. The average annual market capitalisation of Kotak Mahindra Bank has, however, dropped by about 3% in this period; it is now at No. 16, falling from No. 12 in 2023.

STELLAR PERFORMANCE

These three banks have also posted steady growth in profit after tax (PAT) for FY24, as well as lower gross non-performing assets (GNPA) in FY24 compared to FY23. Their results in Q2FY25 also reflect this trend and have pleasantly surprised the markets and analysts amidst mixed results from several other lenders.

HDFC Bank reported a 5.3% year-on-year (YoY) rise in standalone PAT in Q2FY25, with GNPA at 1.36% of gross advances. Its PAT adjusted for higher treasury gains and tax credits in Q2FY24 had grown by 17% YoY. "The bank's asset quality was stable due to the

calibrated approach to its lending book, especially in unsecured lending over the past couple of years guided by its credit risk architecture, and this seems to have served us well again," says a spokesperson, adding it will aim to grow in areas and products that meet its credit standards and help to optimise overall profitability.

HDFC Bank MD & CEO Sashidhar Jagdishan says the lender will bring down its credit-deposit (CD) ratio faster than it had anticipated. "Let me spell out some of the bright spots of our credit growth.

[In] FY25, we would probably grow slower than the system; [in] FY26, we may be at or around the system growth rate; [and in] FY27, we should be faster than the system growth rate," he said.

ICICI Bank also reported a 14.5% rise in profits YoY for Q2FY25 and its GNPA ratio fell to 1.97% on September 30, 2024. "The bank has proactively undertaken various measures, including in the unsecured loans segment, such as quality sourcing, tightening thresholds and increased pricing... These measures have resulted in maintaining a quality asset book," says a spokesperson.

While the bank does not target any particular loan segment but has a focus on growing the business profitably within the guardrails of risk-return, the spokesperson says that in the unsecured loans segment, growth has moderated over the past couple of quarters due to tightening across various credit parameters and increased pricing. It sees an opportunity in business banking encompassing customers with turnover of up to ₹750 crore.

Sandeep Bakhshi, MD & CEO of ICICI Bank, says the lender will continue to make investments in tech, people, distribution and building its brand. "We are laying strong emphasis on strengthening our operational resilience for seamless delivery of services to customers. We will remain focussed on maintaining a strong balance sheet with prudent provisioning and healthy levels of capital," he said during an earnings call.

Analysts say the asset quality of these banks has held up well compared to peers. Asutosh Mishra, Head of Research and Lead BFSI Analyst-Institutional Equity at Ashika Stock Broking, says the asset quality of these banks remains

OPTIMISTIC OUTLOOK

- ▶ **The banking sector has faced several challenges in recent months, notably concerns raised by RBI about unsecured lending**
- ▶ **The credit-deposit ratio is seen as one of the biggest issues for the sector, as banks reduce lending to keep up with slow deposit growth**
- ▶ **The country's three largest lenders—SBI, HDFC Bank, and ICICI Bank—have kept their bad loans under control and maintained steady market capitalisation**
- ▶ **In recent years, banks have improved their balance sheets, and companies are expected to increase their investments**
- ▶ **Liquidity conditions are expected to improve for the sector, which would also be beneficial**